

IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(CIVIL APPELLATE JURISDICTION)

First Appeal No. 90 of 1998

In the matter of:

The Scindia Steam Navigation Co. Ltd.
Through its agents M/S. Atlas Shipping
Agencies Jiban Bima Bhaban Bangabandhu
Road, Agrabad Chattogram and another.
...Appellants.

-Vs-

Bangladesh Chemical Industries Corporation
Shilpa Bhaban, Motijheel Commercial Area,
Dhaka and others.
...Respondents.

Present

Mr. Justice Mamnoon Rahman

And

Mr. Justice Md. Atoar Rahman

Mr. Muhammad Ohiullah, Adv. with

Mr. Al Amin Sarker, Adv.

Mr. Nur Ahmed, Adv.

Mr. Abu Bakkar Siddique, Adv.

...For the appellants.

Mr. M.G.H. Ruhullah, Adv.

...For the respondents.

Heard on: **11.08.2022, 23.10.2022 & 09.11.2022**

And

Judgment on: **The 30th November, 2022**

Mamnoon Rahman, J:

This appeal is directed against the judgment and decree dated 26.05.1997 and 01.06.1997 respectively passed by the learned 3rd Court of Subordinate Judge, Chittagong in Money Suit No. 151 of 1994 decreeing the suit against the defendant Nos. 2 and 3 along with costs and interest @ 13% per annum from the date of decree till realization.

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The plaintiffs filed the above suit for recovery of Tk.60,11,138.56. It has been stated by the plaintiff in the plaint that the plaintiff No.1 placed an order with a firm in Canada by the name of M/s. Rayonier-Canada Sales Ltd, 4 West Georgia Street, Vancouver 5, B.C., Canada Sales Ltd, 4 West Georgia Street, Vancouver 5, B.C., Canada for supplying 500 metric Airdry tons of Excel-O-Bleached sulphite (soft wood) chemical wood pulp for the plaintiff No.2 and M/s. Rayonier-Canada Sales Ltd, the supplier sent the wood pulp in 2506 bales vide M.V. JALADURGA belonging to the defendant No.2.

The vessel M.V. JALADURGA arrived at Chittagong port and discharged the cargo of 791 bales of wood pulp on to the barges belonging to the proforma-defendant No.4 and discharge of cargo started at 8 a.m. on 16.9.1975. It has been alleged by the plaintiff in the plaint that after 791 bales of wood pulp were discharged on to the barges the plaintiff allegedly found damage to the goods and upon ascertaining damage to the cargo the appointed surveyors allegedly reported total loss of the entire cargo for the purpose for which the goods were imported.

The plaintiff thereafter lodged claim with the defendant No.1 insurer and defendant Nos. 2 and 3 carrier and its agent for Tk.36,69,849.61 being the C&F value of the goods and since the defendant Nos.2 and 3 did not settle the alleged claim

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of the plaintiff the plaintiff filed the instant suit against the defendant No.1, 2 and 3 for damages and compensation.

The defendant No.1 Sadharan Bima Corporation filed Written Statement contending that the plaintiff No.1 has no locus standi whatsoever to file the present suit and that the surveyors did not report that the cargo was a total loss. The surveyors stated in their report that the cargo has got salvage value as the same can be used for some other purpose. The defendant No.1 contended in the Written Statement that the plaintiffs, it seems, for reasons malafide, termed the cargo as total loss and the claim of the plaintiffs for constructive total loss or total loss without surrendering the salvage/salved cargo is wholly illegal and untenable. The defendant No.1 Sadharan Bima Corporation also stated that when a cargo arrives as damaged at destination, the owner of cargo even if the cargo is covered by insurance is bound to take delivery of the same and the measure of indemnity for the damage would be of such proportion of the same fixed by the policy if the policy as the difference between the goods sound and damaged value at the place of arrival bears to the gross sound value.

The defendant Nos.2 and 3 entered appearance in the suit and filed Written Statement contending that the plaintiffs or either of them have no right and locus standi to file and maintain the instant suit and that the Bill of Lading of the consignment has not been surrendered and no delivery order

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was obtained from the defendants or the plaintiff did not approach the defendant Nos.2 and 3 for obtaining delivery order and that since the plaintiffs have not surrendered/retired the original Bill of Lading duly endorsed by the Bank and since no delivery order was obtained from the defendants accordingly the plaintiffs have not acquired any interest in the goods so as to give them a right to sue the defendant Nos.2 and 3. It is absolutely false as alleged by the plaintiff that the defendant No.3 refused to issue delivery order.

The defendant Nos.2 and 3 have further stated in their Written Statement that while sailing from Bombay Port on 13.8.1975 for Madras Port the vessel M.V. JALADURGA experienced very rough weather and stormy seas and the Master of the vessel immediately on arrival of the vessel at Chittagong Port lodged a Note of Protest. The defendant Nos.2 and 3 further stated in their Written Statement that there was no negligence, carelessness and/or misconduct on the part of the defendant No.2 or its officers or crew members and they took all precautionary measures and necessary steps to protect the vessel and the cargo. The situation was perils, dangers and accidents of the seas or other navigable waters and an Act of God and heavy and rough weather in the sea was beyond their control. The defendant Nos.2 and 3 reiterated in their written statement that no delivery order was obtained by the plaintiff because neither the plaintiffs nor their agents surrendered the

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Original Bill of Lading and/or got the Original Bill of Lading duly endorsed by the bank and because the plaintiff did not also retire the original bill of lading from the Bank the plaintiffs also did not come forward for obtaining delivery order.

The defendant Nos.2 and 3 also stated in their Written Statement that the plaintiff had no right to abandon the cargo consignment in the matter although they have done so and that the plaintiff's allegation that the entire cargo was a total loss for the purpose for which it was imported is also incorrect, baseless and malafide. The plaintiffs have distorted the contents of the survey report because the surveyors have in fact stated that the cargo have got salvage value and the cargo can be used for some other purposes. The defendant Nos.2 and 3 have further stated in the Written Statement that there was no damage to the barge and that the defendant Nos.2 and 3 are under no circumstances liable for the hire of the barge which was hired by the plaintiffs. The defendants have further stated in the Written Statement that there is no cause of action against the defendant Nos.2 and 3 and the plaintiffs are not entitled to any reliefs whatsoever against these defendants and the suit is liable to be dismissed with costs against the defendant Nos.2 and 3.

The Chittagong Port Authority who was also subsequently impleaded as proforma defendant No.5 also filed Written Statement against the allegations made by the plaintiff. The Chittagong Port Authority, the proforma defendant No.5

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contended in its Written Statement that no delivery order in respect of the suit consignment was presented to the Chittagong Port Authority. Chittagong Port Authority, the proforma defendant No.5 further stated in the Written Statement that the plaintiffs were obliged to clear the cargo consignment notwithstanding the alleged survey report showing damage or total loss.

The Chittagong Port Authority, the proforma defendant No.5 also stated in its Written Statement that the plaintiff had no reason to wait for any decision as to what the defendant No.3 would do with the goods which in the normal circumstances is the obligation of the consignee to remove the same even if it is totally damaged and the plaintiffs have deliberately avoided taking delivery despite notices served on them by the Chittagong Port Authority under the Port rules. Chittagong Port Authority finally contended that the fact remains that no steps have been taken by the plaintiff by taking delivery order and performing other formalities for taking delivery of the cargo insofar as the Chittagong Port Authority is concerned and the Chittagong Port Authority in its written statement also denied the allegation of the plaintiff regarding total loss of the cargo.

The plaintiffs adduced oral evidence through one witness PW1 and got its documents marked as Exhibits 1 to Exhibits 19. The defendant Nos.2 and 3 also adduced evidence through

one witness DW1 and filed documents which were marked as Exhibits Ka (ক) to Exhibits Ta (ট).

P.W.1 adduced oral evidence and stated as follows: “রেয়ন কন্ট্রোল ল্যাবরেটরীতে আমি ভান্ডার করনিক হিসাবে চাকুরীতে যোগ দেই। ১৯৬৮ সনে চাকুরীতে যোগদান করার পক্ষে কাগজ আছে সঙ্গে আনি নাই। এল,সি, খোলার ব্যাপারে আমি নিজে যাইনি। কোন ব্যাংকের সাথে এল,সি, খুলছে তাহা আমি জানি না। পরে বলে মনে নাই। এল,সি, খোলার তারিখ ৪/৬/১৯৭৫ ইং তারিখে। এল,সি, দাখিল করি নাই। এল,সি টা বাদী কোম্পানীর এবং সরবরাহকারী রেয়নিয়ায় কানাডা সেলস লিঃ এর মধ্যে হয়। যে ব্যাংকের মাধ্যমে এল,সি, খোলা হইয়াছে সে ব্যাংকে পক্ষ ভুক্ত করা হয় নাই। এল,সি, তে শিপিং কোম্পানী পক্ষ আছে কিনা আমি জানিনা। তবে শিপিং কোম্পানীকৃত পণ্য ২০০৬ বেল ৫০০ মেট্রিক টন উড পাল্প। প্রি শিপমেন্ট ইন্সপেকশান সার্টিফিকেট দেখাতে পারব। ৩নং বিবাদী ডেলিভারী অর্ডার না দেওয়ার পক্ষে লিখিত চিঠি আছে। উক্ত চিঠিখানি আদালতে দাখিল করি নাই। ক্লেইম বিলের সহিত যে মূল দলিল সমূহ দাখিল করেছি ঐ মর্মে চিঠি আছে কিন্তু আদালতে দাখিল করেছি কিন্তু স্মরণ নাই। প্রদর্শনী দলিলে উক্ত ফরোয়ার্ডিং চিঠি নাই। ইহা সত্য নহে যে, ৩নং বিবাদী ডেলিভারী অর্ডার দিতে অস্বীকার করেছিলেন।

ইতিপূর্বে আমরা ৭৯১ বেল উড পাম্প আমরা ডেলিভারী নেই। কিন্তু অরিজিনাল বিল অফ ল্যাডিং দাখিল করে ডেলিভারী অর্ডারের জন্য আসে নাই। বিরোধীয় মালামালের আমদানী, খালাস করা, বীমা করা, সার্ভে করা ইত্যাদি আমি নিজে কিছু করি নাই এবং আমার ব্যক্তিগত জ্ঞান নাই। ১১/৯/৭৫ ইংরেজীর ৩/৪ দিন পূর্বে আমরা শিপিং ডকুমেন্টস পাইয়াছি তাহা দেখাইবার জন্য কোন কাগজ বা রেকর্ড আদালতে দাখিল করা হইয়াছে কিনা তাহা আমার জানা নাই। ১১/৯/৯৭

ইংরেজীর কয়েক সপ্তাহ আগে আমরা শিপিং ডকুমেন্টস পেয়েছি কিনা আমার স্মরণ নাই। বন্দর থেকে মাল খালাস আমাদের নিজস্ব ক্লিয়ারিং ডিপার্টমেন্টে করিয়াছি। মাল বন্দর হইতে খালাস করার জন্য কাস্টমস্ কর্তৃপক্ষের নিকট বিল অফ এন্ট্রি দাখিল করতে হয়। বিল অফ এন্ট্রি দাখিল করার পরে কাস্টমস কর্তৃপক্ষ নালিশি মালের জন্য দেয় কাস্টমস ডিউটি ও সেলস্ ট্যাক্স ইত্যাদি নির্ধারণ করে। ধার্যকৃত ডিউটি ইত্যাদি পরিশোধ করার পর কাস্টমস কর্তৃপক্ষ বিল অফ এন্ট্রি পাশ করে। বিল অফ এন্ট্রি পাশ করার পর পোর্ট থেকে মাল খালাসের জন্য ছাড়পত্র নিতে হয়। বিল অফ এন্ট্রির সঙ্গে কাস্টমস, কর্তৃপক্ষের নিকট বিল অফ লেডিং এবং ইনভয়েস দাখিল করতে হয়। কাস্টমস কর্তৃপক্ষ পাশ করা বিল অফ এন্ট্রির একটি কপি আমাদের নিকট আছে। কাস্টমসের নিকট কত তারিখে বিল অফ এন্ট্রির কপি দাখিল করা হইয়াছে তাহা আমার স্মরণ নাই। বিল অফ এন্ট্রি হইতে দেখা যাইবে উহা কত তারিখে দাখিল করা হইয়াছে কাস্টমস কর্তৃপক্ষের নিকট ঐ বিল অফ এন্ট্রি আদালতে দাখিল করা হইয়াছে কিনা তাহা আমার স্মরণ নাই। নালিশি পন্যবাহী জাহাজ চট্টগ্রাম বন্দরের জেটিতে ১২/৯/৭৫ ইং তারিখে ভিড়িয়াছে। আমরা মাল ডেলিভারী নেওয়ার জন্য জাহাজের সঙ্গে বার্জ স্থাপন করিয়াছিলাম তবে কত তারিখে কিংবা ১২/৯/৭৫ ইংরেজী তারিখে না কি তাহা স্মরণ নাই। নালিশি মালের মধ্যে ৭৯১ বেল প্রথমে বার্জে মাল খালাস করা হইয়াছিল।

বিদেশে মালামাল জাহাজীকরণ হওয়ার পর পরই বিদেশী সরবরাহকারী আমাদের নিকট শিপমেন্ট এডভাইস পাঠায়। বিরোধী মালের ও শিপমেন্ট এডভাইস আমরা পেয়েছি। শিপমেন্ট এডভাইস আমরা কোর্টে দাখিল করি নাই। শিপমেন্ট এডভাইস হইতে দেখা যাইবে উহা কখন হইয়াছিল এবং আমরা কখন পাইয়াছিলাম। বিরোধী মাল জাহাজীকরণ করা হইয়াছিল ৪/৬/৭৫ ইংরেজী তারিখে এবং বিল অফ লেডিং ও করা হইয়াছিল একই তারিখে অর্থাৎ ৪/৬/৭৫ ইং তারিখে শিপমেন্ট এডভাইস ও ৪/৬/৭৫ ইংরেজী তারিখে হওয়ার কথা।

আমরা জুন ৭৫ ইংরেজী তারিখের মধ্যে শিপমেন্ট এডভাইস পেয়েছি কিনা স্মরণ নাই। শিপমেন্ট এডভাইসের সাথে বিল অফ ল্যান্ডিং ও ইনভয়েস এর নন নেগোশিয়েশাল কপি ও দেওয়া হয়। মাল সম্পূর্ণ ধ্বংস হয় নাই, তবে আমরা যে কাজে ব্যবহারের জন্য আনিয়াছিলাম মালগুলি তৈল মিশ্রিত থাকায় ব্যবহার করা সম্ভব হয় নাই। আমরা মাল ডেলিভারী নেই নাই। মালগুলি কাস্টম কর্তৃপক্ষ নিলামে বিক্রয় করিয়াছে। বার্জে ওভার সাইড ডেলিভারী দেওয়া ৭৯১ বেল আমাদের গোডাউনে নিয়া আসিয়াছি। নালিশী চালানের ৭৯১ বেল লাইটারিজ ওভার সাইড ডিসচার্জ করা হইয়াছিল।"

DW1 adduced oral evidence and stated as follows: "বাদী তখন বি/এল, বি/এন্ট্রি ও অন্যান্য কাগজ পত্র দাখিল না করায় আমরা না পণ্যের ডেলিভারী অর্ডার দিতে পারিনি। তখন আমরা বন্দরকে জানাই যে আমাদের ডেলিভারী অর্ডার ব্যতীত জাহাজের সকল মালের ডেলিভারী বন্ধ রাখার জন্য। মালের সরবরাহ না নিয়েই বাদী পক্ষ মালের জন্য ৩৬৬৯৪৮৪৯/৬১ টাকা দাবী করেন। বাদী মালের নমুনা নিয়ে তার ফ্যাক্টরীতে টেস্ট করে মিথ্যা রিপোর্ট দেয়। প্রকৃত পক্ষে সম্পূর্ণ মাল নষ্ট হয়নি। যে মাল নষ্ট হয়েছিল সেটা ও বাদী সময় মত সরবরাহ নিলে তা অন্য উদ্দেশ্যে তা ব্যবহার করতে পারত বলে একটা রিপোর্ট বলা হয়েছিল। মাল আমি দিতে চাই কিন্তু গ্রহণ করেনি"

The documents filed by the plaintiff which were marked as Exhibits are the various letters exchanged between the plaintiff and the defendants and the insurance policy, Bill of Lading (Not endorsed by the L/C opening bank), Invoice, copy of packing list and the plaintiffs Exhibits have been marked as Exhibits 1 to Exhibits 19 and the defendant Nos.2 and 3 also filed documents which are marked as exhibits and the same are

letters exchanged between defendant Nos.2 and 3 and the plaintiff, Extracts of the Deck Log Book, Note of Protest and the documents filed by the defendant Nos. 2 and 3 have been marked as Exhibits Ka (क) to Exhibits Ta (ट).

Mr. Muhammad Ohiullah, the learned Advocate for the Appellant/Defendant Nos. 2 and 3 submits that the Court below hopelessly failed to discuss as to how the plaintiffs have proved their case. The Court below only discussed the weaknesses of the defendants' case and thereby completely erroneously decreed the suit against defendant Nos.2 and 3 and also most erroneously dismissed the suit against the other defendants including the principal Defendant No. 1 i.e. Sadharan Bima Corporation i.e. the insurer. He submitted that the Court below erred in not holding that the cargo was insured with the Defendant No. 1 and that the Defendant No. 1 i.e. Sadharan Bima Corporation is under an obligation to pay for the damaged cargo against the policy issued by the Defendant No. 1 and there is no scope of denying the principal Defendant No. 1's liabilities and that the decree ought to have been passed against the Defendant No. 1 i.e. Sadharan Bima Corporation instead of the Defendant Nos. 2 and 3. He further argued that the Court below completely failed to appreciate that the plaintiffs did not file the Bill of Lading duly endorsed by the bank showing that the plaintiffs have paid for the goods. He argued that unless the

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plaintiffs surrender and/or retire the Bill of Lading duly endorsed by the bank the plaintiffs were not entitled to take delivery of the goods and the same is a settled principle of law.

Mr. Muhammad Ohiullah further submits that the Court below also failed to appreciate that the surveyors did not opine that the cargo was a total loss as alleged by the plaintiff rather it is to be noted from Exhibit “Ta-1” that the cargo had a salvage value and the same could be used for some other purposes. The Court below also failed to realize that the plaintiffs could not file the instant suit against the defendants because unless it took delivery of the cargo no rights of suit vested in the plaintiffs because in order to bring a suit of this nature the plaintiffs ought to have retired the documents from the bank thereby obtaining a right to sue the defendants but no such step was ever taken by the plaintiffs in this regard. He submitted that the Written Statement filed by the Chittagong Port Authority, the defendant No. 5 also clearly stated that the plaintiff was bound to take delivery of the cargo. In support of his contention he referred to ***Section 1 of the Bills of Lading Act, 1856 and the case of M.T. TITAN VISION –versus- 3F Industries Ltd (2014) MLJ Page 154.***

Mr. Muhammad Ohiullah, the learned Advocate for the Defendant Nos. 2 and 3/Appellants submits that PW1 in his cross-examination stated that PW1 did not file Letter of Credit and that he did not remember the name of the bank through

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whom the Letter of Credit was opened and that the Letter of Credit opening bank was not made a party and that he did not remember whether the Bill of Entry was filed in Court or not, he did not file the shipment advice and that he did not take delivery of the cargo. Since the plaintiffs did not surrender and/or retire the original Bill of Lading duly endorsed by the bank and since no delivery order was obtained due to the failure of the plaintiffs to retire the Bill of Lading, the plaintiffs had no right to file and maintain the instant suit and as such the instant suit is liable to be dismissed against the defendant Nos. 2 and 3 and accordingly the Appeal is liable to be allowed and the plaintiffs' suit is liable to be dismissed as against the defendant Nos. 2 and 3.

Mr. Muhammad Ohiullah, the learned Advocate for the Defendant Nos. 2 and 3 finally argued and submitted that on her sailing from the Port of Bombay for the Port of Madras on 13.8.1975 the vessel M.V. JALADURGA experienced very rough weather and stormy seas and that the vessel was rolling very heavily and violently at times and there was very heavy beam swell and that on 14.8.1975 also the vessel was rolling very heavily and violently at times and there was very heavy beam swell and that the vessel's steering system was not functioning. He argued that the Master of the vessel M.V. JALADURGA decided to call at the nearest Port of Mangalore, India and had made Note of Protest at Mangalore which was

also extended at Chittagong Port, Bangladesh on her arrival. He further argued that it would thus seem that there was no negligence, carelessness and/or misconduct on the part of the defendant No. 2 or its officers or crew members and that they exercised due diligence and took all care and caution and necessary steps to protect the vessel and the cargo and the situation which occurred was perils, dangers and accidents of the sea and Act of God and the rough weather and stormy seas was totally beyond human control.

In support of his contention Mr. Muhammad Ohiullah referred to the following laws and judgments:

(i) Article IV (Rights and Immunities) of the Carriage of Goods by Sea Act, 1925: Rule 2 (c) Perils dangers and accidents of the sea or other navigable waters and Article IV Rule 2 (d) Act of God (ii) Great China Metal Industries Co. Ltd – versus- Malaysian International Shipping Corporation Berhad (The Bunga Seroja) reported in [1994] Lloyd Reports Page 455. (Australian Supreme of New South Wales, Admiralty Division), (iii) Canada Rice Mills Ltd – versus- Union Marine and General Insurance Co. Ltd reported in [1940] All England Law Reports page 169 [House of Lords], (iv) Blackburn and another –versus- Liverpool Brazil and River Plate Steam Navigation Company Limited reported in 9 Aspinall Maritime Law Cases Page – 263, (v) Hamilton –versus- Pandorf [1987]

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[House of Lords] reported in 5 Aspinall Maritime Law Cases Page – 212, (vi) Wilson and Co -versus- Owners of the cargo of the Xantho [1887] [House of Lords] reported in 6 Aspinall Maritime Law Cases Page – 207, (vii) Nugent –versus- Smith (1876) (Court of Appeal) reported in 3 Aspinall Maritime Law Cases Page – 198, (viii) The Shipping Corporation of India –versus- The Metal Box. Co Ltd of India and another reported in AIR 1977 Madras Page 101, (ix) HRC Shipping Limited –versus- X-PRESS MANASLU AND X-PRESS RESOLVE reported in 27 BLD (HCD) Page 31.

Mr. Muhammad Ohiullah, the learned Advocate on behalf of the Defendant Nos. 2 and 3/Appellants has further referred to the following judgments:

(i) M/S Shahnaj Traders –versus- M.V. SLETTER and others reported in 7 BLT (AD) [1999] Page – 381, (ii) Trucks and Spares Ltd –versus- Maritime Agencies (Southampton) Ltd reported in [1951] 2 All England Law Reports Page 982, (iii) Barclays Bank Ltd –versus- Customs and Excise reported in (1963) Lloyds List Law Reports Page – 81 (QBD), (iv) Modina Vegetable Oil Refinery Industries (Private) Ltd –versus- M.T. DOLORES and others reported in (1993) 13 BLD (AD) Page 211, (v) KYCR Coil Industries –versus- M.V. THOR TRANSITY reported in 10 BLC (2005) Page 663, (vi)

Additional Deputy Commissioner and others –versus- Farhad Begum and others reported in 9 (BLC) (AD) (2004) Page 235, (vii) Moksed Ali Mondal –versus- Abdus Samad Mondol reported in 9 (BLC) (AD) (2004) Page 220, (viii) Golzar Ali Pranik –versus- Saburjan Bewa and others reported in 6 BLC (AD) (2011) Page 41. (ix) Sheikh Salimuddin –versus- Ataur Rahman reported in 43 DLR (1991) (HCD) Page 18, (x) Munab Bibi and others –versus- Abdur Rashid Mrida and others reported in 3 BLC (1998) (HCD) Page 6.

Mr. Muhammad Ohiullah, the learned Advocate for the Defendant Nos. 2 and 3/Appellant upon citing the aforementioned judgments prays for allowing the appeal and further prays for dismissing the suit against the Defendant Nos. 2 and 3.

Mr. M.G.H. Ruhullah, the learned Advocate appearing on behalf of the Respondent No. 1/Plaintiff i.e. Bangladesh Chemical Industries Corporation (BCIC) vehemently opposes the appeal. The learned counsel submits that the court below on proper appreciation of the facts and circumstances, evidence both oral and documentary decreed the suit which requires no interference by this court. Mr. M.G.M Ruhullah has cited one judgment dated 2.7.2017 passed by the High Court Division in *First Appeal No. 176 of 2002 namely Bangladesh Chemical Industries Corporation (BCIC) -versus- Sadharan Bima Corporation*. We

have perused the aforesaid judgment cited by Mr. M.G.M Ruhullah and it appears that the judgment passed by another Division bench delivered its judgment against the insurer and the supplier and not against the carrier as argued by Mr. M.G.M Ruhullah. Hence the aforesaid judgment cited by Mr. M.G.M Ruhullah does not assist him rather it goes against him.

We have gone through the plaint, written statements filed by the principal defendant No. 1, principal defendants Nos. 2 and 3 and the principal defendant No. 5, issues framed by the Court below, oral and documentary evidences adduced and produced by the plaintiff through PW1 and oral and documentary evidence adduced and produced by the defendants Nos. 2 and 3 through DW1 and Memorandum of Appeal and the aforesaid cited judgments.

On perusal of the same, it transpires that the trial Court below upon perusal of the plaint, written statements filed by defendant No.1, defendant Nos.2 and 3 and the written statement filed by the Chittagong Port Authority the proforma-defendant No. 5 and upon considering the oral and documentary evidences adduced and produced by the plaintiffs and the defendants decreed the suit only against the defendant Nos.2 and 3 but dismissed the suit against the defendant No.1 insurer i.e. Sadharan Bima Corporation and against the other defendants. We further find that amongst the defendants only the Defendant Nos. 2 and 3 filed both written statement and

also adduced oral and documentary evidence. The principal defendant No.1/Sadharan Bima Corporation being the insurer of the goods although filed written statement but did not adduce any oral and documentary evidence in Court. The Chittagong Port Authority being the proforma-defendant No. 5 although filed written statement did not adduce any oral and documentary evidence in Court through any witness.

Upon our perusal of the plaint, written statements filed by the defendant No.1, the defendant Nos. 2 and 3, the defendant No.5 and the oral evidences adduced by the parties and exhibited documentary evidences produced by the parties we find that it appears that the vessel M.V. JALADURGA carried 2506 bales of wood pulp, but while the vessel M.V. JALADURGA was on its way from the Port of Bombay, India to Chittagong Port, Bangladesh via Madras Port, India the vessel M.V. JALADURGA on 13.8.1975 experienced heavy rough weather and stormy seas. The extracts of the Deck Log Book are quoted below from (EXHIBIT – JHA).

“19th September, 1975 – (eased discharging and sailed from Chittagong.

Vessel leaves Bombay for Madras. 11.00 Vessel rolling heavily. 16.00 Moderate/rough sea and swell. 22.00/24.00 Vessel rolling very heavily and violently at times. Rough sea, very heavy beam swell.

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Vessel rolling heavily and violently at times. 03.50 Observed vessel's steering system not functioning. Engine room informed. N.U.C. signs exhibited. Rough sea, heavy swell 04.00/05.45 Vessel proceeding at reduced rpm (70) as steering system being repaired by Engineers. 06.00 Hear noise coming from No.3 hatch apparently of Tallow drums moving in the hatch Vessel rolling heavily and violently at times Rough sea, heavy swell. 10.45/11.00 Vessel's steering system not functioning satisfactorily. On consultation with Chief Engineer found he would require 3 to 4 hours for thorough check up. Vessel now proceeding to Mangalore anchorage for repairs to steering system. 13.00 Vessel approaching Mangalore Roads for repair of steering. 13.15 Vessel steering system not functioning satisfactorily. 13.58 F.W.E. at anchor. Vessel rolling heavily to violently at anchorage. 20.35 Completed repairs to steering engine. 21.04 Anchor aweigh. 21.35 Steering gear still unsatisfactory. 21.53 Vessel cruising off Mangalore Harbour.

Important facts -

06.30 Found No.3 UT D/L cargo of Drums Tallow had broken the lashing wires and stow collapsed, many drums burst open and Tallow all over UT D/C. Not possible to restow even if hove to as full stow shifting and excessive Tallow on the UT D/C.

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Vessel cruising off Mangalore Harbour to avoid heavy rollin at anchorage. 9.40 Steering gear tried at full speed and found satisfactory.

Vessel crusing around Mangalore Harbour to avoid heavy rolling. 09.50 Vessel proceeds to Mangalore Harbour. 18.(Pilot on board. 18.26 Tug assisting as required. 19.05 Vessel all fast at Mangalore Jetty.

Commenced discharging Tallow.

Vessel shifted assisted by Pilot and Tug.

Completed all loading. 11.47 With one tug assisting vessel leaves Mangalore for Madras.

Anchored off Madras.

Vessel berthed and commenced discharging. Ceased discharging and sailed from Madras.

Anchored off Chittagong.

Berthed at Chittagong. Commenced discharging.

Ceased discharging and sailed from Chittagong.”

Upon our perusal we further find that the Defendant Nos. 2 and 3/Appellants have also filed the Note of Protest (EXHIBIT – X) dated 13.9.1975. The Note of Protest lodged by the Master of the vessel M.V. JALADURGA runs as follows:

“During her voyage from Bombay to Madras to Chittagong the ship encountered boisterous stormy weather, very rough seas, strong wind force, vessel rolling, pitching and labouring, strained very

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heavily with Occasional passing showers, sea water flooded the Deck, fore and hatches and vents battened and covered. The captain, Officers and all mariners applied all means of safeguarding the ship and the cargo. In consequence of the aforesaid weather conditions, perils of the sea and Act of God the captain anticipates possible damage to the ship's Hull, rigging, machineries and cargo unascertained. Wherefore, the Master of the M/V JALADURGA with Indian Flag has protested in accordance with law and declares that all losses damages, costs, expenses and charges etc that happened to the said vessel occurred as before mentioned and not by or through the insufficiency of the said Vessel tackle or apparel or negligence on the part of the Master, his Officers or Mariners or in the proper custody stowage and care of the ship and cargo. The Master hereby gives notice of his intention of swearing extension of Note of Protest against all losses, claims or damage or damages and causes this note or minute of all and singular the pronises, to be entered in this registry reserving right to himself to extend the same at any time and places convenient. The Captain produced the Log Deck before me.

*This solemn declaration of Captain -Sd/F.P. Godrej Master of th
F.P. Godrej Master of the vessel M.V. vessel M.V. JALADURGA d
JALADURGA this the 13th day of 13.9.1975”
September, 1975 before me has been
duly oath.*

We find that the trial Court completely failed to take into consideration (EXHIBIT – JHA) and (EXHIBIT – X) wherein it is clearly stated that the vessel M.V. JALADURGA during the voyage in question experienced heavy weather and stormy seas which is clearly evident from the Deck Log Book Entries and in respect of which Note of Protest was also lodged by the Master of the vessel M.V. JALADURGA at Mangalore Port, India which was extended to Chittagong Port, Bangladesh. We find ourselves unable to accept the view taken by the trial Court and its observations with regard to perils of the seas. The position is clearly stated by Scrutton in his book on Charterparties and Bills of Lading under the heading ‘PERILS OF THE SEA’ as follows:

“Any damage to the goods carried by sea-water, storms, collision, stranding or other perils peculiar to the sea or to a ship at sea, which could not be foreseen and guarded against by the shipper or his servants as necessary or probable incidents of the adventure”

The laws and judgments cited above earlier by Mr. Muhammad Ohiullah, the learned Advocate on behalf of the Defendant Nos. 2 and 3/Appellants fully support the contentions regarding Perils of the Seas and Act of God.

The law as mentioned in the reported judgments cited above makes it very clear that the loss need not be due to extraordinary violence of the wind or waves and in this case

there was heavy weather and rough seas, and the vessel M.V. JALADURGA was rolling and pitching and sometimes heavily due to rough seas and swell as evident from the extract of entries in the Deck Log Book EXHIBIT – JHA and the Note of Protest (EXHIBIT – X).

We also find that in the present case the rights of the parties are governed by Article (IV) Rule 2 (c) and (d) of the Schedule to the Carriage of Goods Sea Act, 1925.

The aforesaid Articles provide as follows:

Article (IV) Rule 2 (c) Neither the carrier nor the ship shall be responsible for loss or damage arising or resulting from perils, dangers and accidents of the sea or other navigable waters and Article (IV) Rule 2 (d): Act of God.

Thus we find that the judgment and decree passed by the trial Court below and the observations made by the Court below with regard to perils of the seas against the Defendant Nos. 2 and 3/Appellants is completely erroneous.

Now in so far as defendant No. 1 i.e. the insurer/Sadharan Bima Corporation's liability is concerned we find upon meticulous examination of EXHIBIT – 1 to EXHIBIT – 19 that the plaintiff had opened policies of insurance right from 8.1.1973, 1.7.1973, 31.7.1973, 31.8.1975, 1.9.1975 and 8.8.1975 and the defendant No. 1 i.e. the insurer/Sadharan Bima Corporation also took premiums from the plaintiffs long before

the instant cargo in question was imported by the plaintiff, but the trial court most erroneously held that the policy was issued on 26.9.1975. We fail to understand how the trial Court reached such conclusion since it is fully clear and apparent from the Exhibits i.e. EXHIBIT – 1 to EXHIBIT – 19 filed by the plaintiff that the principal defendant No. 1 i.e. the insurer/Sadharan Bima Corporation had a long standing insured/insurer relationship of taking premiums right from 8.1.1973 to 1.7.1975 and until the cargo was imported. We find that the principal defendant No. 1 i.e. the insurer/Sadharan Bima Corporation vide letter dated 21.10.1975 i.e. EXHIBIT-17 even indicated its willingness to entertain the claim lodged by the plaintiff. The defendant No. 1 i.e. the insurer/Sadharan Bima Corporation although filed written statement but did not adduce any oral evidence or produce any documentary evidences in support of its defence case. The defence case of the principal defendant No. 1 therefore remains unproved and the principal defendant No. 1 having not proved its case in the Court below is therefore liable for the claim of the plaintiff having accepted and taking insurance premiums from the plaintiff long before the cargo was imported by the plaintiff.

In view of the discussions made hereinabove we find substance in this appeal which is liable to be allowed. The appeal filed by the defendant Nos. 2 and 3/Appellant is accordingly allowed and the suit is dismissed against the

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defendant Nos. 2 and 3, but the suit is decreed against the principal defendant No. 1.

In the result, the appeal filed by the defendant Nos. 2 and 3/Appellant is allowed. The judgment and decree dated 26.5.1997 and 01.06.1997 passed by the 3rd Court of Subordinate Judge in Money Suit No. 151 of 1994 is hereby set aside as against the defendant Nos. 2 and 3, but decreed against the principal defendant No. 1.

However, there shall be no order as to costs.

Send down a copy of this judgment along with the lower Court records at once.

(Mamnoon Rahman, J:)

I agree.

(Md. Atoar Rahman, J:)

Emdad.B.O.